Practice workbook · Defining capital and revenue expenditure

Defining both terms, giving examples, stating differences, and justifying the treatment chosen for a particular cost.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-REC-23

1. Question 17 · part a.ii · 2 marks

2025 NOV · Paper 01

Worked-example retry · Attempt part a.ii only.

17 (a) Explain each term:

(i) capital expenditure

(2)

(ii) revenue expenditure.

(2)

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1. Question 17 · part a.ii · 2 marks

2025 NOV · Paper 01

Worked-example retry · Attempt part a.ii only.

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Dominic prepares financial statements to 30 June each year.

On 1 July 2025 Dominic purchased a new motor van.

	$
Basic cost price	45 000
Delivery cost	810
Road fund licence	360
Insurance	1 080
Installation of shelving	590
Annual maintenance contract	860

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(b) Calculate for the new motor van the total amount of:

(i) capital expenditure

(1)

(ii) revenue expenditure.

(1)

(iii) Identify, indicating with a tick (✓), the effect on gross profit if the total purchase cost of the new motor van was treated as revenue expenditure.

(1)

Overstated	
Understated	
No effect	

1. Question 17 · part a.ii · 2 marks · Working and answer

Working and answer

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2. Question 16 · part a · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part a only.

16 (a) Explain **one** difference between capital expenditure and revenue expenditure.

(2)

(b) State **two** accounting concepts that apply when charging depreciation.

(2)

1 .....

2 .....

(c) State **three** factors that may cause a non-current asset to depreciate.

(3)

1 .....

2 .....

3 .....

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2. Question 16 · part a · 2 marks · Working and answer

Working and answer

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3. Question 18 · part a · 4 marks

2021 JUN · Paper 01

Further practice · Attempt part a only.

18 (a) State **two** differences between capital expenditure and revenue expenditure.

(4)

Difference 1

Difference 2

(b) State **two** causes of depreciation.

(2)

1 .....

2 .....

(c) State **one** accounting concept that applies when providing for depreciation.

(1)

.....

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3. Question 18 · part a · 4 marks · Working and answer

Working and answer

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4. Question 17 · part a · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

17 (a) State **one** difference between capital expenditure and revenue expenditure.

(2)

.....

.....

(b) Identify, indicating with a tick (✓), how **each** item would be treated when a new motor van is purchased for use in the business.

(3)

	Capital expenditure	Revenue expenditure
Installed shelving in van		
Motor insurance		
Signwriting on van		

Guy prepares his financial statements to 31 January.

On 1 February 2021, the balances on the motor vans accounts were:

Cost $146 000
Provision for depreciation $68 000

On 1 August 2021, Guy sold a motor van that he had purchased for $36 000 on 1 August 2019. He received a cheque for $25 000 in full settlement.

On 1 September 2021, Guy purchased a new motor van for $49 000 paid for by bank transfer.

Motor vans are depreciated at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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4. Question 17 · part a · 2 marks · Working and answer

Working and answer

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5. Question 17 · part b · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part b only.

17 (a) State **two** causes of depreciation.

(2)

1 .....

2 .....

(b) State **one** difference between capital expenditure and revenue expenditure.

(2)

.....

.....

(c) Identify, indicating with a tick (✓), how each would be classified when a new motor vehicle is purchased.

(2)

	Capital expenditure	Revenue expenditure
Delivery cost		
Motor insurance		

Tanet prepares his financial statements to 31 March and he provided the following information at 1 April 2021.

	$
Motor vehicles – cost	68 000
Motor vehicles – provision for depreciation	18 240

On 30 June 2021, a motor vehicle purchased on 1 February 2019 costing $30 000 was sold for $16 400. The sale proceeds were received by credit transfer.

Tanet depreciates motor vehicles at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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16

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5. Question 17 · part b · 2 marks · Working and answer

Working and answer

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6. Question 17 · part b · 4 marks

2023 JAN · Paper 01

Further practice · Attempt part b only.

17 Carson depreciates his computer equipment using the straight line method at 20% per annum. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

On 1 September 2021 the balances were:

Computer equipment – cost	$16 800
Computer equipment – provision for depreciation	$ 9 200

On 1 May 2022, computer equipment originally purchased on 1 March 2020 for $3 600, was sold for $1 950

(a) Prepare the following accounts for the year ended 31 August 2022.

(9)

Computer Equipment – Provision for Depreciation Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

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6. Question 17 · part b · 4 marks

2023 JAN · Paper 01

Further practice · Attempt part b only.

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(b) Define the following terms, giving an example of each.

(4)

Term	Definition	Example
Capital expenditure		
Revenue expenditure		

(c) State **two** ways Carson could maintain the security of his computerised data.

(2)

1 .....

2 .....

(Total for Question 17 = 15 marks)

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Working and answer

7. Question 18 · part b · 4 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

18 (a) State **two** factors that cause the value of non-current assets to depreciate.

(2)

1 .....

2 .....

(b) Define **each** of the following terms.

(4)

Capital expenditure

.....

.....

.....

.....

Revenue expenditure

.....

.....

.....

.....

On 1 January 2023 a trader owned a motor vehicle, cost $20 000, with depreciation to date of $8 000

(c) Calculate the depreciation charge for the year ended 31 December 2023 using the:

(i) straight line method of depreciation at 20% per annum

(1)

.....

(ii) reducing balance method of depreciation at 20% per annum.

(1)

.....

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7. Question 18 · part b · 4 marks · Working and answer

Working and answer

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8. Question 17 · part a.i · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part a.i only.

17 (a) Explain each term:

(i) capital expenditure

(2)

(ii) revenue expenditure.

(2)

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8. Question 17 · part a.i · 2 marks · Working and answer

Working and answer

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9. Question 18 · part b · 5 marks

2021 NOV · Paper 01

Further practice · Attempt part b only.

18 (a) Identify, indicating with a tick (✓), how **each** would be classified.

(3)

	Revenue expenditure	Capital expenditure
Machine delivery		
Machine installation		
Machine operatives' wages		

(b) Explain what distinguishes revenue expenditure from capital expenditure.

(5)

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9. Question 18 · part b · 5 marks

2021 NOV · Paper 01

Further practice · Attempt part b only.

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Hunter started in business on 1 April 2018. On that date he purchased Machine A for $26 000 and on 1 December 2018 he purchased Machine B for $16 000.

Depreciation is charged at 10% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase and none in the year of disposal.

(c) Calculate the balance on the machinery – provision for depreciation account at 31 March 2019.

(1)

On 1 January 2020 Hunter sold Machine A for $18 000

(d) Calculate the profit or loss on the disposal of Machine A.

(2)

(e) Prepare the machinery – provision for depreciation account for the year ended 31 March 2020. Balance the account on this date and bring the balance down on 1 April 2020.

(4)

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$

(Total for Question 18 = 15 marks)

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9. Question 18 · part b · 5 marks · Working and answer

Working and answer

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10. Question 18 · part c.ii · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part c.ii only.

18 (a) Explain **one** reason why it is necessary to provide for depreciation on non-current assets.

(2)

On 1 January 2022 the balance on the motor vehicles cost account was $76 600

On 1 March 2022 a motor vehicle was sold for $12 000, payment being received by cheque. This motor vehicle was originally purchased on 1 January 2020 for $18 000

On 1 June 2022 a new motor vehicle was purchased costing $21 500, paid for by cheque.

Motor vehicles are depreciated at 25% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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10. Question 18 · part c.ii · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part c.ii only.

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(b) Prepare the following accounts for the year ended 31 December 2022.

(9)

Motor Vehicles – Cost Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

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10. Question 18 · part c.ii · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part c.ii only.

(c) (i) Identify, indicating with a tick (✓), the effect on gross profit if the purchase of the new vehicle was treated as revenue expenditure.

(1)

Overstated	
Understated	
No effect	

(ii) Explain why the purchase of the new motor vehicle was treated as capital expenditure.

(3)

(Total for Question 18 = 15 marks)

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10. Question 18 · part c.ii · 3 marks · Working and answer

Working and answer

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11. Question 18 · part a.iii · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part a.iii only.

18 On 1 July 2024, Javid installed a new IT system in his premises in order to meet the demand for online shopping.

This project incurred the following costs.

	$
Redesign of premises to accommodate the new servers	20000
Cost of computer network	34000
Installation costs of the computer equipment	5000
Five-year maintenance contract for the network	3000 per annum
Training costs for IT staff on how to operate the network	12000
Training costs for delivery staff	4500

(a) Calculate the **total amount** of:

(i) capital expenditure

(5)

(ii) revenue expenditure.

(3)

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11. Question 18 · part a.iii · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part a.iii only.

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(iii) Explain your treatment of the cost of the redesign of the premises to accommodate the new servers.

(2)

(b) Explain the importance of the correct treatment of capital expenditure and revenue expenditure.

(5)

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(Total for Question 18 = 15 marks)

11. Question 18 · part a.iii · 2 marks · Working and answer

Working and answer

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